Course Name: Management and Entrepreneurship. **Semester: V**

Course Code: 22IE562 **L-P-C: 3-0-2**

Course Objectives:

1. Explain fundamentals of management, functions of a manager. Also explain planning, organizing, and staffing, decision making processes and explain the organizational structure.

2. Describe the understanding of motivation and different control systems in management, leadership process, understanding of Entrepreneurship and its development process.

3. Illustrate Small Scale Industries, various types of supporting agencies and financing available for an entrepreneur and summarize the preparation of project report, need significance of report. Also to explain about industrial ownership.

4. To explain various forms of the intellectual property, its relevance and business impact in the changing global business environment and to discuss leading International Instruments concerning Intellectual Property Right

UNIT-I

SYLLABUS:

Management: Introduction - Meaning, nature and characteristics of management, scope and Functional areas of management, goals of management, levels of management.
Planning- Nature, importance, types of plans, steps in planning.
Organizing- nature and purpose, types of Organization.
Staffing- meaning, process of recruitment and selection.
Directing and Communication - meaning and nature of directing, leadership styles, motivation Theories, Communication- Meaning and importance, Coordination meaning and importance.
Controlling- meaning, steps in controlling, methods of establishing control.

I. MANAGEMENT

Definition of Management:

- Simplest definition is that it is defined as the art of getting things done through people.
- Management can also be defined as the process consisting of planning, organizing, actuating, and controlling performed to determine and accomplish the use of people and resources.
- It is systematic way of doing things.
- A manager is one who contributes to the organizational goals indirectly by directing the efforts others by not performing the task by himself
- A person who is not a manager makes his contribution to the organization's goals directing byperforming the task himself.

The definition involves the act of achieving the organizations objectives. Management involves the act of achieving organizations objectives.

Important ***Management activities or functions*** included in this process are:

1. **Planning:** means thinking of their actions in advance.
2. **Organizing:** means that managers coordinate human and material resources of the organization.
3. **Actuating:** means that managers motivate and direct subordinates.
4. **Controlling:** means that mangers attempt to ensure that there is no deviation from the norm or plan.
5. **Innovating:** means creating new ideas which may improve a product, process or practice.
6. **Representing**: means representing his/her organization before various outside groups which may have some stake in the organization.

Nature of management:

1. All the managers carry out the managerial functions of planning, organizing, staffing leading

and controlling
2. management applies to any kind of organization
3. applies to managers at all organizational levels
4. the aim of the managers is same create the surplus
5. managing is concerned with productivity, which implies effectiveness and efficiency

Characteristics of management:

Management is:

1. Intangible (not measurable and cannot be seen) but its presence can be felt by efforts in the production sales and revenues.
2. universal and it is applicable to all sizes and forms of organizations
3. a group activity and it involves getting things done with and through others
4. Is goal oriented and all actions of management are directed at achieving specific goals.
5. is science as well art and emerging now as a profession
6. is multidisciplinary and it has contributions from psychology, sociology, anthropology

Scope of the management:

- The management is a must for every organization which encompasses for profit as well as non-profit organizations, government as well as non-government organizations, and service as well as manufacturing organizations.
- It is in fact difficult to find an area of activity where management is not applicable.
- Management is not only limited to business enterprises for profits but also to the for non-profit organizations like educational institutions, health care organizations, financial organizations, stores management for keeping their cost of the operation at the optimal levels
- Government organizations like municipal corporations, water supply departments, electricity boards in providing best possible services to the public
- Non-government agencies like environmental agencies benefit from management in achieving their social objectives in cost effective manner
- Manufacturing organizations extensively use management to increase production to enhance the quality of the products manufactured and similarly
- Service organizations benefit from management in providing an exemplary service experience to the customers.

Management functions or The Process of Management

- Planning is a function that determines in advance what should be done which is looking ahead and preparing for the future
- It is a process of determining the objectives and charting out the methods of attaining those objectives.
- It is determination of what, where and how it is to be done and how the results are to be evaluated.
- It is done for the organization as a whole but every division, department or subunit of the organisation.
- It is a function which is performed by the managers at all levels-top (which may be as long as five years), middle (shorter may be week) and supervisory.

1. **Organizing and staffing** is a function which may be divided into two main sections namely the human organization and material organization.
   a. Once the plans have been developed and the objectives established, they must design and develop a human organization to carry out plans successfully.
   b. It may define as a structure which results from identifying and grouping work, defining and delegating responsibility and authority and establishing the relationships.
   c. Staffing is also considered an important function in building the human organization involves

building the right person for the right job.

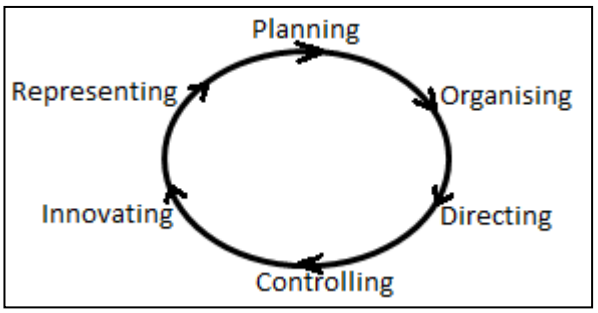
d. Fixes responsibility for a manager to find the right person for the right job and ensures enough manpower for the various positions needed for the organization which involves selection and training of future managers and suitable system of compensation
e. Different objectives require different kinds of organizations.

2. **Directing** is the next step after planning, organizing and staffing
   a. Involves three sub-functions namely *communication, leadership and motivation.*
   b. Communication is the process of passing information from one person to another
   c. Leadership is the process of guiding and influencing the work of his subordinates by the manager.
   d. Motivation is the arousing the desire in the minds of the workers to give their best to their enterprise.
   e. To pull out the weight effectively, to be loyal to their enterprise and carry out the task effectively.
   f. Has two types of motivation financial and nonfinancial
   g. Financial: takes the form of salary, bonus, profit-sharing etc.
   h. Nonfinancial: takes the form of job security, opportunity of advancement recognition praise etc.

3. **Controlling** is a function which ensures everything occurs in conformity with plans adopted and involves three elements:
   a. establishing the standards of performance
   b. Measuring current performance and comparing it against the established standards.
   c. taking action to correct any performance that does not meet the standards, management process.

4. **Innovating**: It is very much necessary for an organization to grow better, for which INNOVATION becomes very essential. A frequent catchphrase used in Organization is "Innovate or evaporate". Innovation means creating new ideas in the organization which may improve a product, process or practice for their betterment.

5. **Representing**: A manager is also required to spend a part of his/her time in representing his organization before various outside groups which may have some stake in the organization. These stake-holders can be government officials, labour unions, customers, suppliers, financial institutions, etc. They have influence over the organization. A manager must win their support by effectively managing the social impact of the organization.



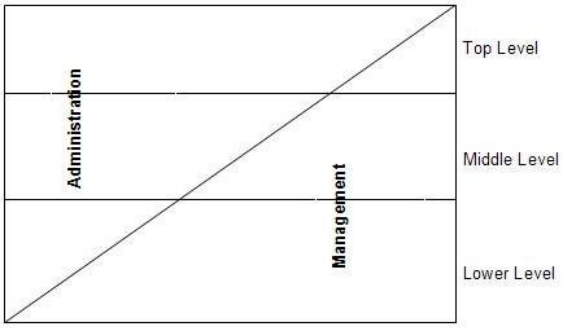
Management Process blends into each other like the flowing water of a river. These sub-processes have no clear-cut separate entity or a line of demarcation where one ends & the other begins.

Levels of Management:

The term "**Levels of Management**' refers to a line of demarcation between various managerial positions in an organization. The number of levels in management increases when the size of the business and work force increases and vice versa. The level of management determines a chain of command, the amount of authority & status enjoyed by any managerial position. The levels of management can be classified in three broad categories:

1. **Top level / Administrative level -** consists of board chairman, the company presidents, and the executive vice presidents.
2. **Middle level / Executory -** consist of vast and diversified group consisting plant managers, personnel managers and department heads.
3. **Low level / Supervisory / Operative / First-line managers -** is made up of foreman and white collared supervisors.

Managers at all these levels perform different functions. The role of managers at all the three levels is discussed below:



Managerial skills:

The manager is required to possess three major skills: Conceptual skill which deals with ideas, human relations skill which deals with people and technical skill which deals with things**.**

1. **Conceptual skill:** deals with the ability of manager to take a broad and farsighted view of organization and its future, ability to think in abstract ability to analyse the forces working in a particular situation.
2. **Technical skill:** are managers understanding of the nature of the job that people under him have to perform. It refers to the person's knowledge and proficiency in any type of process or technique.
3. **Human relations skill**: is the ability to interact effectively with people at all levels and the manager sufficient ability to:
   a. to recognize the feelings and sentiments of others.
   b. to judge the possible reactions to and the outcomes of various courses of action
   c. to examine his own concepts and values which may enable to more useful attitudes and about himself.

Skill mix of a manager with the change in his level:

a. **Top level:** technical skill becomes less important
b. **Middle management:** human relations skill become more important
c. **Supervisory skill:** technical skill becomes more important.

II. PLANNING

Planning- Nature, importance, types of plans, steps in planning,

Meaning of Planning:

1. Planning is an *intellectual process* which requires manager to think before acting.
2. It is thinking in advance. it is planning that managers of organization decide what is to be done, when it is to be done, how it is to be done, and how has to do it.
3. Decision making is an integral part of planning.
4. It is the process of choosing among alternatives. Obviously, decision making will occur at many points in the planning process.
5. Planning is a continuous process like a navigator constantly checks where his ship in going in the vast ocean, a manger must constantly watch his plans must constantly monitor the conditions, both within and outside the organization to determine if changes are required in his plans.

Nature of Planning:

Planning involves selection of objectives, goals and determines the ways and means of achieving them. Thus planning bridges the gap from '*where the Organization is*' to '*where it wants to be*'. Planning is dynamic in nature and is basically a discrete exercise. Nature of planning indicates essential quality or general characteristics of planning. Planning involves four essential qualities:

1. Planning must contribute to accomplish purpose and objectives.
2. It must be considered as parent exercise in all processes.
3. It must spread through all management functions.
4. It must be efficient in such a manner so as to achieve the designed goals at the least cost.

Importance of planning:

1. **Minimizes risk and uncertainty**
   a. By providing a more rational, fact-based procedure for making decisions, planning allows managers and organizations to minimize risk and uncertainty.
   b. Planning does not deal with future decisions, but in futurity of present decisions.
2. **Leads to success:**
   a. Planning does not guarantee success but studies have shown that, often things being equal, companies which plan not only outperform the non-planners but also their past results.
   b. This may be because when a businessman's actions are not random arising as mere reaction to the market place
   c. Planning leads to success by doing beyond mere adaption to market fluctuations.
   d. With the help of a sound plan, management can act proactively and not simply react.
   e. It involves to attempt to shape the environment on the belief that business is not just the creation of environment but its creator as well.
3. **Focus attention on the organizations goals:**
   a. Planning helps the manger to focus attention on the organizations goals and activities.
   b. This makes it easier to apply and coordinate the resources of the organization more economically.
   c. The whole organization is forced to embrace identical goals and collaborate in achieving them.
   d. It enables the manager to chalk out in advance an orderly sequence of steps for the realization of organizations goals and to avoid needless overlapping of activities.
4. **Facilitates control:**
   a. In planning, the manager sets goals and develops plans and to accomplish these goals.
   b. These goals and plans then become standards against which performance can be measured.
   c. The function of control is to ensure that activities conform to the plans.
   d. Thus control can be exercised only if there are plans.

5. **Trains executives:**
   a. Planning is also an excellent means for training executives.
   b. They become involved in the activities of the organization and the plans arouse their interest in the multifarious aspects of planning.

Types of planning:

1. There are many forms and styles of planning, and planning practices are likely to vary from organization to organization.
2. One useful way of classifying them is to distinguish between **strategic planning** and **tactical planning**.
3. About Strategic planning involves deciding what the major goals of the entire organization will be and what policies will guide the organization in its pursuit of these goals and depends on the data collect in the outside the organization such as market analysis, estimates of costs, technological developments and so on and if the data being mostly imprecise make strategic planning less certain.
4. About Tactical planning involves deciding specifically how the resources of the organization will be used to help the organization achieve these strategic goals. for example if the organization has prepared a ten-year strategic plan which envisages a profit rate of 25% on capital employed in the tenth year, it also necessary to prepare a more detailed tactical plan forthe next year, with a specific target of 10% on the capital employed.
5. *Contingency planning* takes into account possible occurrences. It is planning for 'what to do **if** there is a recession or **if** there is a change in government policy and so on.

Sl.	Strategic planning	Tactical planning
1	decides the major goals and policies of allocation of resources to achieve these goals	decides the detail use of resources for achieving these goals
2	Done at higher levels of management. Middle managers sometimes may not even be aware that strategic planning is being considered.	is done at lower levels of management
3	it is long term planning	it is short term planning
4	Is generally based on long term forecasts about technology, political environment and is more uncertain.	is generally based on the past performance of the organization and is less uncertainly
5	is less detailed because it is not involved with the day to day operations of the organization	is more detailed because it is involved with the day-to-day operations of the organization

Steps in planning:

The various steps involved in planning are as follows:

1) Establishing verifiable goals or set of goals to be achieved:

- The first step in planning is to determine the enterprise objectives which are often set up by the upper level or top managers, usually after number of possible objectives have been carefully considered.
- There are many types of objectives managers may select: desired sales volume or growth rate, the development of a new product or service or even a more abstract goal such as becoming more active in the community.
- The type of goal selected will depend on a number of factors: the basic mission of the organization, the value its mangers hold and the actual and the potential abilities of the organization.

2) Establishing planning premises:

It is the second step in planning to establish planning premises which is vital to the success of planning as they supply pertinent facts and information relating to the future such as population trends, general economic conditions, production costs and prices, probable competitive behavior, capital and material availability and government control and so on. *Planning can be variously classified as under*

a. internal and external premises
b. tangible and intangible premises
c. controllable and non-controllable premises

a. Internal and external premises

- Premises may exist within and outside company.
- **Internal premises** include sales forecasts, policies and Programmes of the organization, capital investment in plant and equipment, competence of management, skill of labor, etc.
- **External premises** can be classified into three different groups Business environment, factors which influence the demand for the product, and the factors which affect the resources available to the enterprise.

b. Tangible and non-tangible premises:

- **Tangible premises**: those which can be quantitatively measured while **Intangible premises** are those which being qualitative in character and cannot be measured.
- **Tangible examples**: population growth, industry demand, capital and resources invested in the organization are all tangible.
- **Intangible examples:** political stability, sociological factors, business and economic environment are all tangible.

c. Controllable and non-controllable premises:

- Some of the planning premises are controllable and some are non-controllable and because of the non-controllable factors there is need for the organization to revise the plans periodically in accordance with the current development.
  Examples of uncontrollable factors: strikes, wars, natural calamities, emergency, legislation etc. **Examples of controllable factors:** company's advertising agency, competence of management member's skill of the labour force, availability of resources in terms of capital and labour, attitude and behavior of the owners of the organization.

3) Deciding the planning period:

- It is the next task once the upper level managers have selected the basic long term goals and the planning premises.
- Business plans are made in some instances once for a year and plans are made for decades based on some logic and future thinking.
- The factors which affect the choice of period are:

a. Lead time in development and commercialization of new product.
b. The time required to recover capital investments or the pay-back period and
c. Length of the commitments which are already made.

4) **Finding alternate courses of action:** The fourth step of planning is to search for & examine the *alternate courses of action*. **Example:** securing the technical knowhow by engaging a foreign technician or by training staff abroad.

5) **Evaluating and selecting the alternate courses of action:** After listing the alternates, selecting the best alternate or course of action is done with the help of quantitative techniques and operations research.

6) **Developing the derivative plans:** Once plan formulated, its broad goals must be translated on day-to-day operations of organization Middle level managers must draw up the appropriate plans, programmes and budgets for their sub-units which are described as derivative plans.

7) **Establishing and Deploying Action Plans:** Action represents 'the lowest level of execution'. The action plan identifies particular activities necessary for this purpose and specifies the who, what, when, where and how of each action. A draft version of the action plan should be communicated to inform those directly involved & gain their cooperation.

8) **Measuring and controlling the process:** Plan cannot be run without monitoring its progress. The managers must check the progress of their plans.
   a. Take whatever remedial action is necessary to make the plan work
   b. Change the original plan is it is unrealistic.

III. ORGANIZING- nature and purpose, types of Organization,

Definition

- An organization can be defined as a social unit or human grouping deliberately structured for the purpose of attaining specific goals.
- An organization can also be defined as the process of identifying and grouping of the work to be performed, defining and delegating responsibility and authority and establishing relationships for the purpose of enabling people to work most effectively together in the accomplishment of their objectives.

Nature of organization:

1. An organization basically consists of group of people who form the dynamic human element of the organization
2. Organization helps in identifying the various tasks to be performed which are assigned to the individuals to perform to achieve the common objectives or common purpose of the organization.
3. It ensures to achieve coordination amongst the people working in various departments of the organization and ensures integrated efforts to achieve organizational objectives or goals.
4. It delegates authority to the managers with commensurate responsibility and accountability for the discharge of their duties and also amongst different hierarchical levels in an organization.
5. It also aides in achieving financial, physical material and human resources.
6. Organizations are part of the larger environment and hence they are influenced by the external environment.
7. Organization helps in the realization of the plans made by the managers
8. It helps in nurturing and growing special skills and talents by the virtue of division of labour
9. It facilities seamless communication.

Purpose of an organization:

1. The purpose of any organization is to achieve goals for which it is formed and aims at achieving common objectives through its group members efforts.
2. The organizations exist for different purpose and the efforts for organizational members are directed for the achievement of this purpose.

For example: For a business organization the purpose is to develop people and their skills for contributing towards the growth of the enterprise through profits, whereas for a nonprofit organization the purpose and the objective would be to serve the members of the committee in a productive manner.

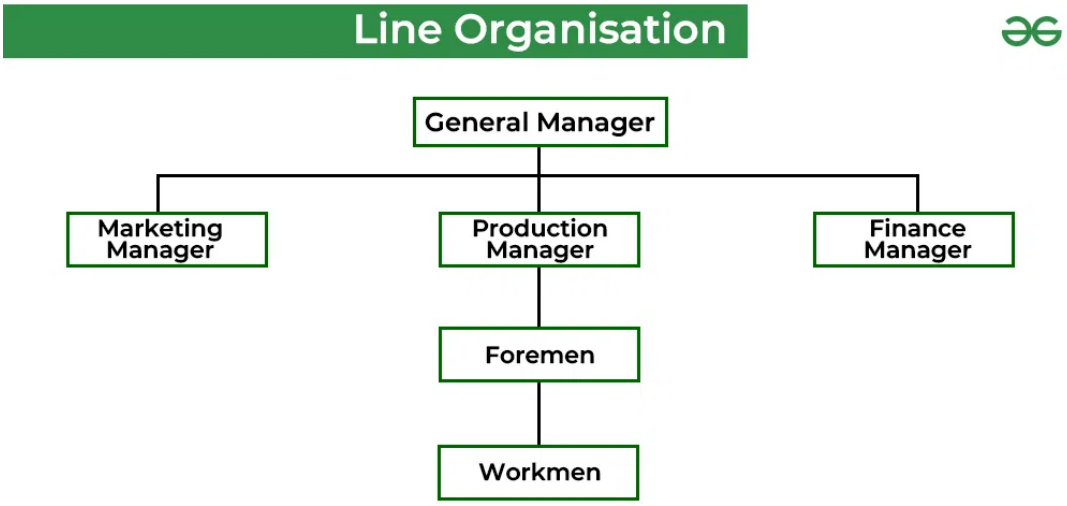
Types of organization:

There are various types of organisational structures that an organisation can adopt, each with its advantages and characteristics. The six main types of organisation structure are given below:

1. Line Organisation
2. Functional Organisation
3. Line and Staff Organisation
4. Project Organisation
5. Matrix Organisation
6. Committee Organisation

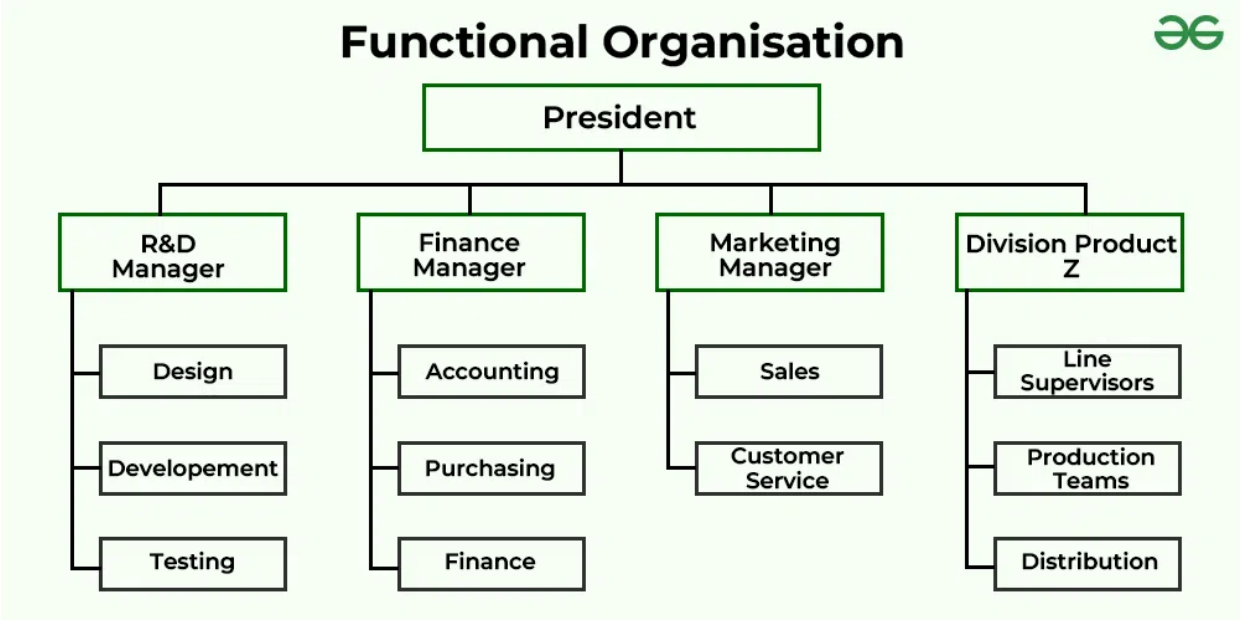
Here are brief explanations of some common types of organisational structures.

1. **Line organization.**



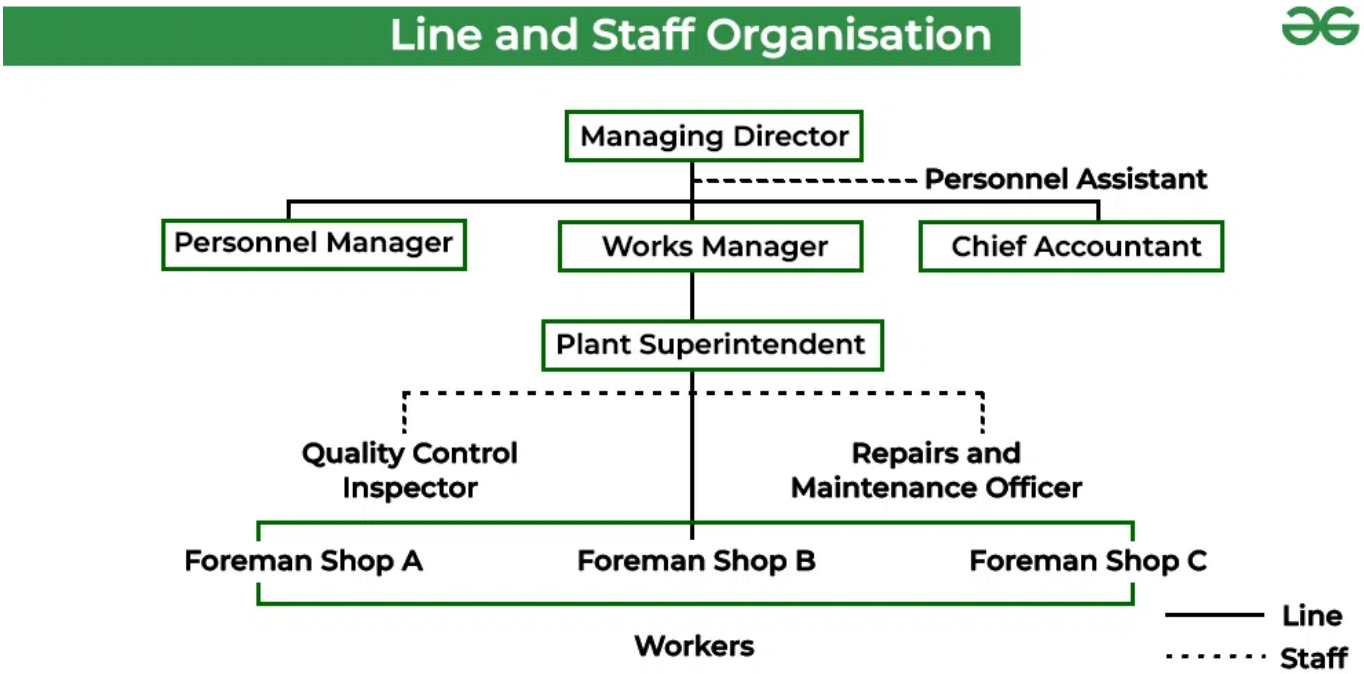
Line organisation, also known as a scalar or military organisation, is the simplest and oldest form of organisational structure. It is characterised by a clear and direct chain of command, where authority flows vertically from top to bottom. Each employee has a single supervisor to whom they report, creating a clear line of responsibility and accountability. Decision-making is typically centralised at the top of the hierarchy, with limited delegation. This structure is suitable for small organisations with a straightforward hierarchy, where decision-making needs to be efficient and communication is direct. However, it can lead to delays in decision-making as all decisions must pass through the hierarchy, and communication can be limited to the immediate supervisor. No staff specialists are available in line organisation and all the persons at the same level are independent of each other

2. **Functional Organisation:**



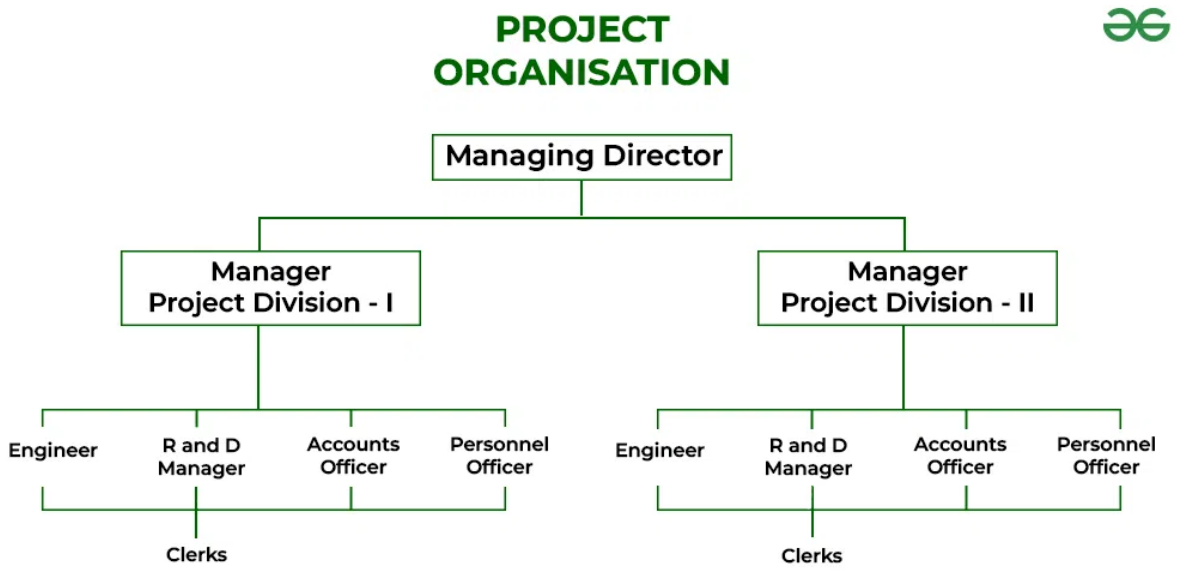
Functional organisation is a common structure where departments are organised based on specialised functions or tasks. For example, there might be separate departments for marketing, finance, operations, human resources, and so on. Each department is headed by a functional manager who has expertise in that particular area. This structure allows for the efficient utilisation of specialised skills and knowledge, as employees within each department can focus on their areas of expertise. It also enables clear career paths within each function. Specialists operate here with considerable independence. However, functional organisations can create silos, where departments become inwardly focused, and communication and collaboration between departments may be limited. Coordination across functions can also be challenging.

3. **Line and Staff Organisation.**



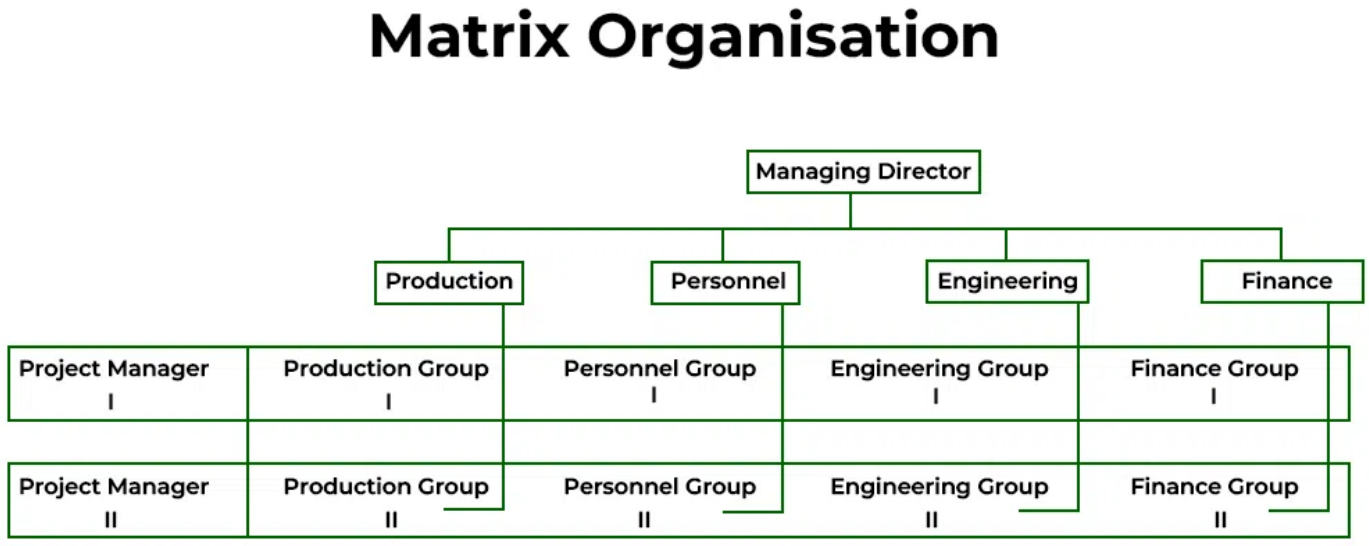
In a line and staff organisation structure, line positions focus on core operations, while staff positions provide specialised support and guidance. Staff roles, like human resources or legal, offer expertise and advice to line managers. This structure balances operational responsibilities with specialised support, enabling better decision-making and problem-solving. Specialists in such organisations have advisory nature as they do not have the power of command over subordinates in other departments. However, clarifying roles and coordination between line and staff functions is important to avoid conflicts. This can also lead to confusion and can be quite expensive for small firms.

4. **Project Organisation.**



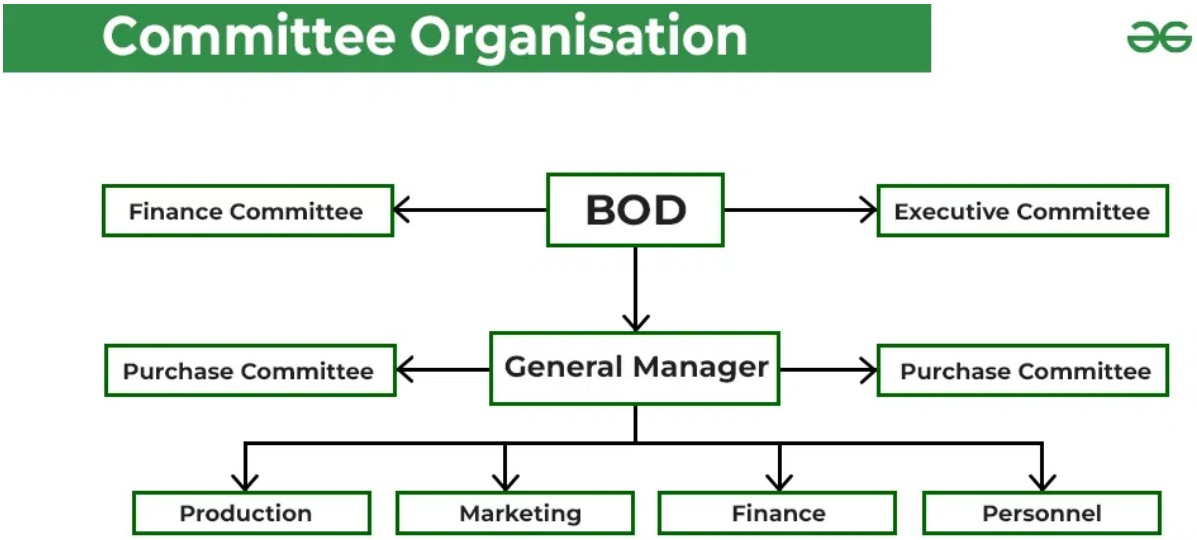
A project organisation is a temporary structure formed specifically for a particular project or initiative. It is characterised by a project team that is assembled to achieve specific goals within a defined timeframe. The project team is led by a project manager who has authority over team members and resources. This structure allows for a dedicated and focused approach to project management, with team members working together to accomplish project objectives. It facilitates effective coordination, communication, and collaboration within the project team. Once the project is completed, the team is disbanded. Project organisation is particularly useful when organisations need to manage complex, time-limited projects that require cross-functional collaboration and a dedicated team focus. In a Project organisation, unity of command is followed.

5. Matrix Organisation



A hybrid grid structure wherein pure project organisation is superimposed on a functional structure is known as Matrix Organisation. It combines elements of both functional and project structures. It involves dual reporting lines, where employees have both a functional manager and a project manager. The functional manager oversees employees' functional responsibilities, while the project manager manages their involvement in specific projects. This structure allows for flexible resource allocation, as employees can be assigned to different projects based on their skills and availability. There is always a permanent functional setup and temporary cross-functional teams are created to handle short-term projects, which are infrequent in nature.

6. Committee Organisation:



The committee organisation structure distributes decision-making and authority across committees or groups. These committees are formed to address specific areas or functions within the organisation, bringing together individuals from different departments and levels. Decisions are made collectively through discussions and consensus-building, ensuring diverse perspectives and expertise are considered. The scope of its activities is limited and it cannot handle problems assigned to it. According to Allen," A committee is a body of persons appointed or elected to meet on an organised basis for the consideration of matters brought before it." Committee organisation promotes collaboration and participation in decision-making processes. It gives secure viewpoints and consultations of various persons in the organisation.

IV. STAFFING- meaning, process of recruitment and selection.

Definition of Staffing: The process of recruiting, retaining, developing and nurturing theworkforce is called staffing

Nature and importance of proper staffing:

1. It helps in discovering talented and competent workers and developing them to move up the corporate ladder.
2. Ensures greater production by putting the right man in the right job.
3. It helps to avoid a sudden disruption of an enterprises production run by indicating shortages of personal if any in advance.
4. Helps to prevent underutilization of personnel through over manning and the resultant high labor cost and low profit margins.
5. Provides information to management for the internal succession of managerial personnel in the event of unanticipated turnover.

Recruitment:

It is defined as the process of identifying the sources for prospective candidates and to stimulate them to apply for the jobs.

Sources of requirement:

They can be broadly classified into two categories namely **internal and external.**

Internal sources refer to the present working force of the company. Vacancies other than the lowest level may be filled by the existing employees of the company.

External sources of recruitment

1. **Re-employing former employees:** laid off employees or employees left due to personal reasons may be reemployed who may require less training compared to the strangers of the enterprise.
2. **Friends and relatives of the present employees:** personnel with a record of good relationships may be encouraged to recommend their friends and relatives for Appointment in the concern where they are employed.
3. **Applicants at the gate:** suitable unemployed employees who call at the gates of the factories or companies are called are interviewed by the factory or company personnel and those who are found suitable for the existing vacancies are selected.
4. **College and technical institutes:** many big companies remain in touch with the colleges and technical institutions to recruit young and talented personnel.
5. **Employment exchanges:** employment exchange set up by the government for bringing together those men who are in search of the employment and these who are in search of employment and those who are looking for men. Employment exchanges are considered a useful source for the recruitment of clerks, accountants, typists.
6. **Advertising the vacancy:** can be done by advertising the vacancy in leading newspapers which may be used when the company requires services of persons possessing certain special skills or when there is acute shortage of labor force.
7. **Labor unions:** persons are sometimes recommended for appointment by their labor unions.

Selection:

Steps in the selection procedure:

1. **Job analysis:** Is the process by means of which a description is developed of the present methods and procedures of doing a job, physical conditions in which the job is done, relation ofthe job to other jobs and other conditions of employment

2. **Job description:** The results of the job analysis are set down in job descriptions for production workers, clerical people and the first-line supervisors and managers also.
3. **Job specification:** A job specification is a statement of the minimum acceptable human qualities necessary to perform a job satisfactorily.

Commonly practiced steps for selections:

1. **Application bank:** Filling the application blank by the candidate is the first step in which the applicant gives relevant personal data such as qualification, experience, firms in which he has worked.
2. **Initial interview:** Selected personnel based on the particulars furnished in the application blank are called for the initial interview by the company which is the most important means of evaluating the poise or appearance of the candidate.
3. **Employment tests:** Are used for the further assessment of the candidate of his nature and abilities certain tests are conducted by the company. These are:
   i. **Aptitude test:** is used in finding out whether a candidate is suitable for clerical or a mechanical job which helps in assessing before training as how well the candidate will perform the job.
   ii. **Interest test:** is used to find out the type of work in which the candidate has an interest.
   iii. **Intelligent test:** used to find out the candidates intelligence and candidates mental alertness, reasoning ability, poor of understanding are judged.
   iv. **Trade or performance achievement test**: this test is used to measure the candidate's level of knowledge and skill in the particular trade or occupation in which all he will be appointed, in case he is finally selected. In this test the candidate is asked to do a simple operation of the proposed job**. Example:** A candidate for a driver may be asked to drive to test his driving proficiency, a typist may be asked to type out some letters to find out his speed and efficiency.
   v. **Personality test:** is used to measure those characteristics of a candidate.
4. **Checking references:** used to know about the important personal details about the candidate, his character, past history his background verified from the people mentioned in the application after selection and found satisfactory at the interview.
5. **Physical or medical examination:** is another step in selection procedure. The objectives of this examination are
   a) to check the physical fitness of the applicant for the job applied for
   b) to protect the company against the unwarranted claims for compensation under certain legislative enactments.
6. **Final interview**: This interview is conducted for those who are ultimately selected for employment and the selected candidates are given an idea about their future projects within the organization.

V. DIRECTING AND COMMUNICATION - meaning and nature of directing, leadership styles, motivation Theories,

DIRECTING

Definition:

1. Means issuance of orders and leading and motivating subordinates as they go about executing orders Consists of the process and techniques utilized in issuing instructions and making certain that operations are carried on as originally planned.
2. Is a vital in managerial function Is used to stimulate action by giving direction to his subordinates through orders and also supervise their work to ensure that the plans and policies achieve the desired actions and results.
3. To conclude direction is the process of utilizing the techniques in issuing instructions and making certain that operations are carried out on as originally planned.

Nature of directing:

1. **Harmony of objectives:**
   a. The goals of its members must be in complete harmony with the goals of an organization
   b. The manager must direct the subordinates in such a way that they that they perceive their goals to be in harmony with enterprise objectives.
   c. For Example the company's profits may be associated with the employee's gains by giving additional bonus or promotion.
2. **Unity of Command:** The subordinates must receive orders and instructions from one supervisor only the violation of which may lead to conflicting orders, divided loyalties and decreased personal responsibility for results.
3. **Direct supervision:** Every supervisor must maintain face-to-face contact with his subordinates which boosts the morale of the employees, increases their loyalty and provides them with feedback on how well they are doing.
4. **Efficient Communication:**
   a. Communication is an instrument of direction through which the supervisor gives orders, allocates jobs and explains duties and ensures performance.
   b. Is a two way process which enables the superior to know how his subordinates feel about the company and how the company feels on a number of issues concerning them.
   c. In communication comprehension is more important than the content.
5. **Follow-through**: It is an act of following through the whole performance of his subordinates to keep check on their activities, help them in their cat and point out deficiencies if any and revise their direction if required.

Leadership Styles:

Three leadership styles widely used: Traits approach, Behavioral approach, Contingency approach

1. **Traits approach:** Trait is basically a character and deals with personal abilities and assumed to be God's gift and abilities are identified as mental and physical energy, emotional stability, knowledge of human relations, empathy, objectivity, personal motivation, communication skills, teaching ability, social skills, technical competence, friendliness and affection, integrity and faith, intelligence etc.

   Traits approaches –

   a) Trait theories argue that leaders share a number of common personality traits and characteristics, and that leadership emerges from these traits.
   b) Early trait theories promoted the idea that leadership is an innate, instinctive quality that you either have or don't have.
   c) Now we have moved on from this approach, and we're learning more about what we can do as individuals to develop leadership qualities within ourselves and others.
   d) Traits are external behaviors that emerge from things going on within the leader's mind – and it's these internal beliefs and processes that are important for effective leadership.

2. **Behavioral approach:** Behavioral theories focus on how leaders behave. There are three types of leaders:
   a) **Autocratic leaders** make decisions without consulting their teams. This is considered appropriate when decisions genuinely need to be taken quickly, when there's no need for input, and when team agreement isn't necessary for a successful outcome.
   b) **Democratic leaders** allow the team to provide input before making a decision, although the degree of input can vary from leader to leader. This type of style is important when team agreement matters, but it can be quite difficult to manage when there are lots of different perspectives and ideas.
   c) **Laissez-faire leaders** don't interfere; they allow people within the team to make many of the decisions. This works well when the team is highly capable and motivated, and when it doesn't need close monitoring or supervision. However, this style can arise because the leader is lazy or distracted, and, here, this approach can fail.

3. **Contingency approach**:
   a) Situation influencing good leadership
   b) The realization that there isn't one correct type of leader led to theories that the best leadership style is contingent on, or depends on, the situation.
   c) These theories try to predict which leadership style is best in which circumstance.

Motivation theories:

A. **Content theories:** Describes **WHAT** motivates an individual. They throw light on the various needs and incentives which cause behaviour.
   1. Maslow's need hierarchy theory
   2. Alderfer's ERG Theory
   3. Herzberg's two factor theory
   4. McClelland's achievement theory
B. **Process theories:** Describes **HOW** behaviour is caused.
   1. Victor Vroom's Expectancy theory
   2. Adam's equity theory
C. **Reinforcement theory:** Explain**s** the ways in which behaviour is learned, shaped or modified.
   1. Skinner's behaviour modification theory

EXPLANATION:

Content theories: Describes **WHAT** motivates an individual. They throw light on the various needs and incentives which cause behaviour.

1. **Maslow's need hierarchy theory:**

An unsatisfied need is the basis for the motivation process and the starting point and begins the chain of events leading to behaviour as shown in the figure below.

Order of priority of human needs begins with the person's unsatisfied need at the lowest level- identification of the need develops in the form of

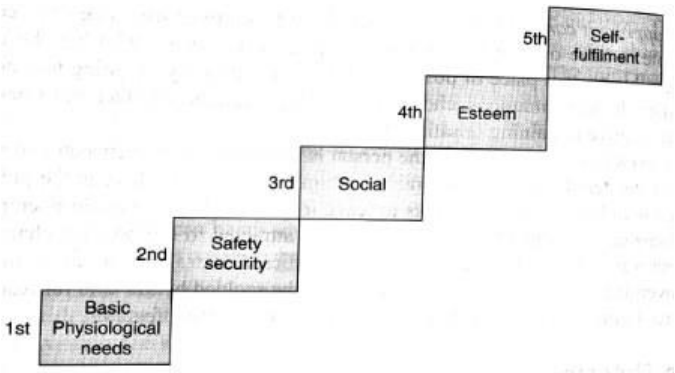


FIG. *Order of priority of human needs*

as goal which leads to the fulfilment of the need to achieve the goal. These needs are arranged in the form of a ladder of five successive categories as shown in the figure above.

a. **Physiological needs:** Arise of the basic physiology of life like the need for food, water, air, etc. which must be at least satisfied partially for continued survival.
b. **Security needs:** Needs to feel both economically secure and psychologically secure. That is free from economic threat and physical harm which need protection from arbitrary lay-off and dismissal, disaster and avoidance of the unexpected.
c. **Social needs:** are needs to associate with other people and be accepted by them.
d. **Egoistic needs**: are the needs which relate to respect and prestige the need for dominance for example. This can be further classified as self-esteem and esteem from others. Self-esteem is the need for worthiness of oneself and the esteem is the necessity to think others that he is worthy.
e. **Self-fulfilment needs**: are the needs to realize ones potential that is realizing one's own capabilities to the fullest-for accomplishing what one is capable of to the fullest. For example, a musician must make music etc.

According to Maslow, people attempt satisfy their physical needs first. As long as the needs are unsatisfied they dominate and after they become reasonably satisfied and progress to the next level and so on.

2. Herzberg's Two-factor theory:

Original study based on the research by Fredrick and Herzberg who interviewed 200 engineers and accountants and were asked about the good times and bad times they think about their jobs. Out of these interviews two factors emerged called the '*Maintenance factors*' and '*Motivators or satisfiers*'.

I. Maintenance factors (Factor 1)

1. Fair company polices and administration
2. A supervisor who knows the work
3. A good relationship with one's supervisor.
4. A good relationship with one's peers.
5. A good relationship with one's subordinates.
6. A fair salary
7. Job security
8. Personal life
9. Good working conditions
10. Status

II. Motivators or satisfiers (Factor 2)

1. Opportunity to accomplish something significant
2. Recognition for significant achievements
3. Chance for advancement
4. Opportunity to grow and develop on the job
5. Chance for increased responsibility
6. The job itself.

Some facts about the two factors:

1. Motivators are job centered
2. Maintenance factors are related working conditions and environmental conditions.
3. These two groups of factors are also known as intrinsic and extrinsic rewards.
4. These two sets of factors are unidirectional.

COMMUNICATION

Communication- Meaning and importance, Coordination meaning and importance,

- Communication means Exchange of opinions, facts ideas or emotions by two or more persons.
- The sum of all things what one does to create an understanding in the minds of others.
- It is the process of passing information, correct understanding and with right Interpretation from one person to another.

Importance of communication:

- ✔ The importance of communication rose from the fact that earlier business was considered only a technical and formal structure.
- ✔ But by Hawthorne's experiments, it was realized that every organization requires structure is a social system involving the interactions of the people working at different levels and proper communication is required to achieve the goals of the organization.
- ✔ It is the basis to an organization's existence from the birth to continuing of the organization on through its continuing life.
- ✔ When communication stops, organized action comes to an end. Thus, **communication** is the foundation of cooperative group activity.

COORDINATION

- Coordination is the orderly synchronization or fitting together of the interdependent efforts of individuals to attain a common goal
  For example: In a hospital there is a proper synchronization of the activities of the nurses,doctors, wards, attendants and lab technicians so as to give a good care to the patient.
- Coordination can be considered as an essential part of all managerial functions of planning, organizing, directing and directing. If the manger performs these functions efficiently and expertly coordination is automatically generated and there remains no need for special coordination.

Coordination is required at every level of all managerial functions

- ✔ **In planning:** performs his function of planning by coordination of the interrelating the plans of various departments
- ✔ **In organizing:** coordination is required in grouping and various activities to subordinates and in creating departments
- ✔ **In directing:** coordination is required to take effect of his particular action will have on other departments and executives
- ✔ **In controlling:** coordination is required manger evaluates operations and checks whether performance is in conformity with the desired results.

Techniques of coordination:

The following are the important techniques of coordination

1. **Rules procedures and policies:**
   - Helps in coordinating the subunits in the performance of their Repetitive activities.
   - Standard policies, procedures and policies are laid down to cover all possible situations
   - If the breakdown of the above occurs more rules, regulations are required to be framed to take care of the breakdown
2. **Planning:**
   - Ensures coordinated effort and targets of each department dovetail with the targets of all other departments.
   - Example: fixing the targets of the10000 units of additional production and consequently the sales requires the coordination of the two departments respectively to meet the demands and achieve the target.

3. **Hierarchy:**
   - Is the simplest device of achieving coordination by hierarchy or chain of command By putting together independent units under one boss some coordination among their activities is achieved.
   - Sometimes defective because makes individuals dependent upon, passive towards and subordinates to the leader.
4. **Direct contact:** Used to solve the problems created at the lower levels which affects the employees can be resolved by formal informal contacts to prevent overloading to top executives.
5. **Task force:** Temporary group made up of representatives from the same departments facing problems and exists as long as the problems lasts and each participant returns to normal tasks once the solution is reached
6. **Committees:**
   - Arise due the fact when certain decisions consistently become permanent.
   - These groups are labelled committees.
   - This device greatly eases the rigidity of the hierarchical structure, promotes effective communication and understanding, of ideas, encourages the acceptance of commitment to policies and makes implantation more effective.
7. **Induction:**
   - Of a new employee is a social setting of his work is also a coordinating mechanism.
   - The device familiarizes the new employee with organizations rules and regulations dominant norms and behavior, values and beliefs and integrates his personal goals with organizational goals.
8. **Indoctrination:** Device commonly used in religious and military organizations is another coordinating device which develops the desire to work together for a purpose. The major task of a leader being to build an organization can be succeeded by the indoctrination and other means by converting the neutral body into a committed body
9. **Incentives:** providing independent units with an incentive to collaborate such as profit sharing plan is another mechanism.
10. **Liaison departments**: evolved to handle transactions and typically occurs between the sales and production departments.
11. **Workflow:** is the sequence of steps by which the organization acquires inputs and transforms them into outputs and exports these to the environment which is largely shaped by the technological, economic and social considerations and helps them in coordination.

VI. CONTROLLING

Controlling- meaning, steps in controlling, methods of establishing control. Bloom's Taxonomy

Organizational control is the process of assigning, evaluating, and regulating resources on an ongoing basis to accomplish an organization's goals. To successfully control an organization, managers need to not only know what the performance standards are, but also figure out how to share that information with employees.
Control can be defined narrowly as the process a manager takes to assure that actual performance conforms to the organization's plan, or more broadly as anything that regulates the process or activity of an organization. General interpretation of defining **managerial control** is - monitoring performance against a plan and then making adjustments either in the plan or in operations asnecessary.

The Control Process or Steps in Controlling

The control process involves carefully collecting information about a system, process, person, orgroup of people in order to make necessary decisions about each. **Managers set up control systems that consist of four key steps:**

1. **Establish standards to measure performance**. Within an organization's overall strategic plan, managers define goals for organizational departments in specific, operational terms that include standards of performance to compare with organizational activities.
2. **Measure actual performance**. Most organizations prepare formal reports of performance measurements that manager's review regularly. These measurements should be related to the standards set in the first step of the control process. For example, if sales growth is a target, the organization should have a means of gathering and reporting sales data.
3. **Compare performance with the standards**. This step compares actual activities to performance standards. When managers read computer reports or walk through their plants, they identify whether actual performance meets, exceeds, or falls short of standards. Typically, performance reports simplify such comparison by placing the performance standards for the reporting period alongside the actual performance for the same period and by computing the variance—that is, the difference between each actual amount and the associated standard.
4. **Take corrective actions**. When performance deviates from standards, managers must determine what changes, if any, are necessary and how to apply them. In the productivity and quality-centered environment, workers and managers are often empowered to evaluate their own work. After the evaluator determines the cause or causes of deviation, he or she can take the fourth step—corrective action. The most effective course may be prescribed by policies or may be bestleft up to employees' judgment and initiative. These steps must be repeated periodically until the organizational goal is achieved.

Possible Questions

1. Management

Question: Define management. Discuss the nature and characteristics of management. (BL 1: Remembering)

Question: Explain the functional areas of management and their importance in achieving organizational goals. (BL 2: Understanding)

2. Planning

Question: What are the different types of plans used in management? Explain each with examples. (BL 1: Remembering)

Question: Describe the steps involved in the planning process. Why is planning considered essential for managers? (BL 2: Understanding)

3. Organizing

Question: Define organizing. What are the different types of organizational structures? (BL 1: Remembering)

Question: Explain the nature and purpose of organizing. How does organizing help in achieving the goals of a business? (BL 2: Understanding)

4. Staffing

Question: What is staffing? Briefly describe the process of recruitment and selection. (BL 1: Remembering)

Question: Discuss the importance of recruitment and selection in the staffing process. (BL 2: Understanding)

5. Directing and Communication

Question: Define directing. Explain the different leadership styles used in management. (BL 1: Remembering)

Question: Discuss the nature of communication in an organization and explain why effective communication is important. (BL 2: Understanding)

6. Motivation Theories

Question: List and explain any two motivation theories in management. (BL 1: Remembering)

Question: Discuss how motivation theories can be applied to enhance employee performance.

(BL 2: Understanding)

7. Coordination

Question: What is coordination? Why is it essential for effective management? (BL 1: Remembering)

Question: Explain the meaning of coordination. How does coordination help in achieving organizational goals? (BL 2: Understanding)

8. Controlling

Question: Define controlling. What are the steps involved in the control process? (BL 1: Remembering)

Question: Explain the methods of establishing control in an organization and their significance. (BL 2: Understanding)